

Constellation Energy Corporation CEG

UTILITY (DIVIDEND-DISCOUNT LED)

RATING	FAIR VALUE	PRICE	UPSIDE
UNDERWEIGHT	\$115.11	\$240.98	-52%

Discount rate 8.91% · data: yfinance

INVESTMENT THESIS

We initiate our independent valuation of **Constellation Energy Corporation (CEG)** with a **UNDERWEIGHT** stance and a fair value of **\$115.11**, -52% against the current \$240.98. We frame the company under a utility (dividend-discount led) approach — the model set that fits how this business actually creates value. The lead method, multi-stage dividend discount, returns \$32.63 (-86%); the target is a probability-weighted blend across 2 methods.

Constellation Energy Corporation generated \$25.53bn of revenue at a 16% EBIT margin in the latest fiscal year, having compounded the top line at 1.5% over the historical window. Market capitalisation stands at \$86.05bn with \$5.35bn of net debt, and we discount at a 8.9% WACC.

Our base case carries 69% of enterprise value in the terminal value, implying a terminal EV/EBITDA of 6.0x. At maturity the business earns a 13.2% return on invested capital against a 8.9% cost of capital — a positive spread of 425bps, so incremental growth is value-accretive and deserves a premium multiple.

Reverse-engineering the current price, the market is discounting roughly 35.1% near-term revenue growth versus our 35.0% base assumption — the tape is more optimistic than our forecast, which is the crux of the -52% gap to fair value.

Regulated, low-growth, high-payout: a multi-stage dividend model leads, with a slow-growth DCF and comps as support.

KEY DATA	
Market cap	\$86.05bn
Enterprise value	\$91.41bn
Net debt	\$5.35bn
Net debt / EBITDA	0.9x
EV / EBITDA (LTM)	15.3x
P/E (LTM)	32.6x
FCF yield (LTM)	1.9%
Dividend yield	0.7%
Beta	1.12
Diluted shares	357mn

FINANCIAL SUMMARY & VALUATION

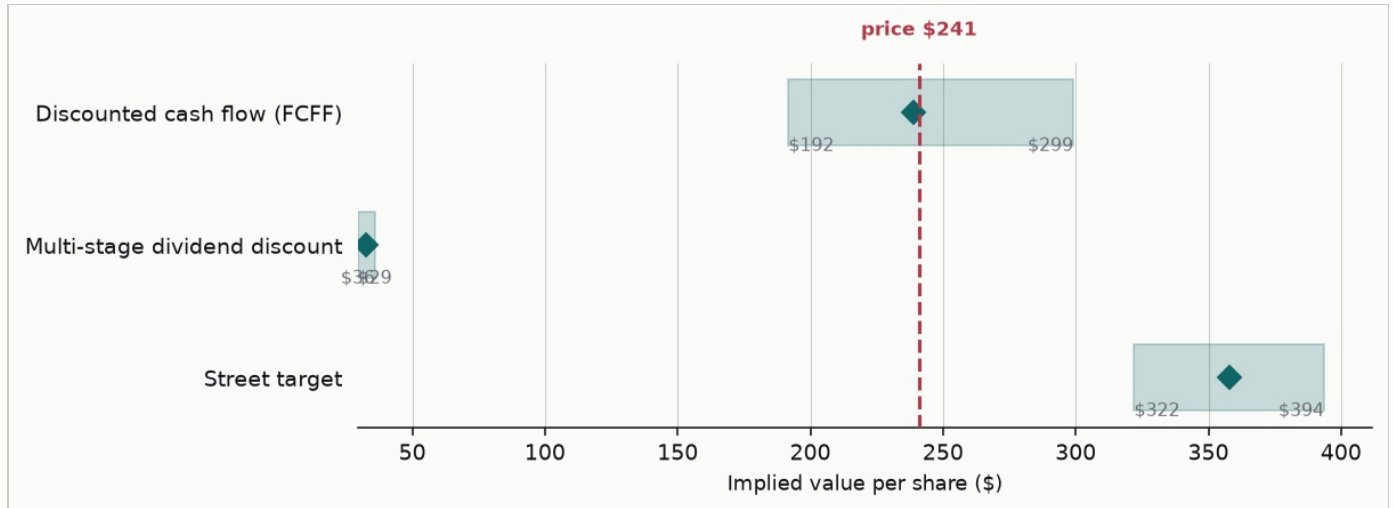
\$, PER SHARE WHERE NOTED	FY2024A	FY2025A	FY2026E	FY2027E	FY2028E	FY2029E
Revenue	\$23.57bn	\$25.53bn	\$34.47bn	\$44.67bn	\$55.46bn	\$65.86bn
growth	-5.4%	+8.3%	+35.0%	+29.6%	+24.2%	+18.8%
EBITDA	\$7.03bn	\$5.96bn	\$8.36bn	\$10.68bn	\$13.06bn	\$15.28bn
EBIT margin	20.6%	16.4%	16.4%	16.1%	15.7%	15.4%
EPS	\$11.90	\$7.39	\$10.30	\$13.34	\$16.42	\$19.23
FCFF/share	(\$15.99)	\$4.93	\$9.34	\$11.80	\$14.29	\$16.54

EV/EBITDA	13.0x	15.3x	10.9x	8.6x	7.0x	6.0x
P/E	20.2x	32.6x	23.4x	18.1x	14.7x	12.5x
FCF yield	-6.2%	1.9%	3.6%	4.6%	5.6%	6.5%

Multiples struck at the current price/EV against each year's estimates. Forecast EPS approximates net income as (EBIT – LTM interest) × (1–t).

VALUATION SUMMARY — FOOTBALL FIELD

EXHIBIT 1 · VALUATION FOOTBALL FIELD



METHOD	VALUE / SHARE	UPSIDE	WEIGHT
Discounted cash flow (FCFF)	\$238.83	-1%	40%
Multi-stage dividend discount	\$32.63	-86%	60%
Street consensus	\$357.81	+48%	—
Blended fair value	\$115.11	-52%	

KEY ASSUMPTIONS & RATIONALE

Each forward driver is anchored to history or consensus, sanity-checked for internal consistency, and justified below. These are the levers that move the valuation.

DRIVER	TRAJECTORY	RATIONALE
Revenue growth	35.0% → 2.5% over 7y	Year-1 growth is set from year-1 consensus of 63.8% blended 60/40 with the 4-yr historical CAGR of 1.5%. Growth then decelerates monotonically to the terminal rate as the base compounds toward \$83bn — the law of large numbers and competitive entry compress incremental growth.
EBIT margin	16.4% → 14.4% (compresses)	Spot EBIT margin is 16.4% versus a through-cycle average of 11.2%. We revert 40% of the way toward that average, landing at 14.4% by year 7 — crediting some but not all of current profitability as durable, which guards against extrapolating a peak.
Reinvestment (capex)	9.8% of sales	Held at the historical average capex intensity (9.8%), against D&A of 7.8% — a capex/D&A ratio of 1.25x, consistent with net capacity growth.
Working capital	0.4% of Δrevenue	Incremental working capital absorbs 0.4% of each year's revenue increase, the historical median — a cash drag as the business scales.
Tax rate	28.7%	Normalised to the trailing effective rate of 28.7%, applied to EBIT to derive NOPAT.
Terminal growth	2.5%	Set at 2.5%, at or below long-run nominal GDP (4.0%); a mature going concern cannot outgrow the economy in perpetuity. Must stay below the WACC.

COST OF CAPITAL

Risk-free rate (Rf)	4.30%
Equity risk premium (ERP)	4.60%
Country risk premium	0.00%
Beta (reported)	1.12
Size premium	0.00%
Cost of equity (Ke)	9.46%
Pre-tax cost of debt	5.10%
After-tax cost of debt	3.64%
Marginal tax rate	28.7%
Weight of equity	90.5%
Weight of debt	9.5%
Credit assessment	AA (EBIT/int = 8.2x)
WACC	8.91%

Operative discount rate: 8.91% (WACC).

Cost of equity via CAPM: $R_f + \beta \times ERP$. Marginal tax rate set to trailing effective (28.7%). Cost of debt from a synthetic rating off interest coverage (AA (EBIT/int = 8.2x)).

FINANCIAL MODEL — HISTORICALS & FORECAST

EXHIBIT 2 · REVENUE & FREE CASH FLOW PROJECTION

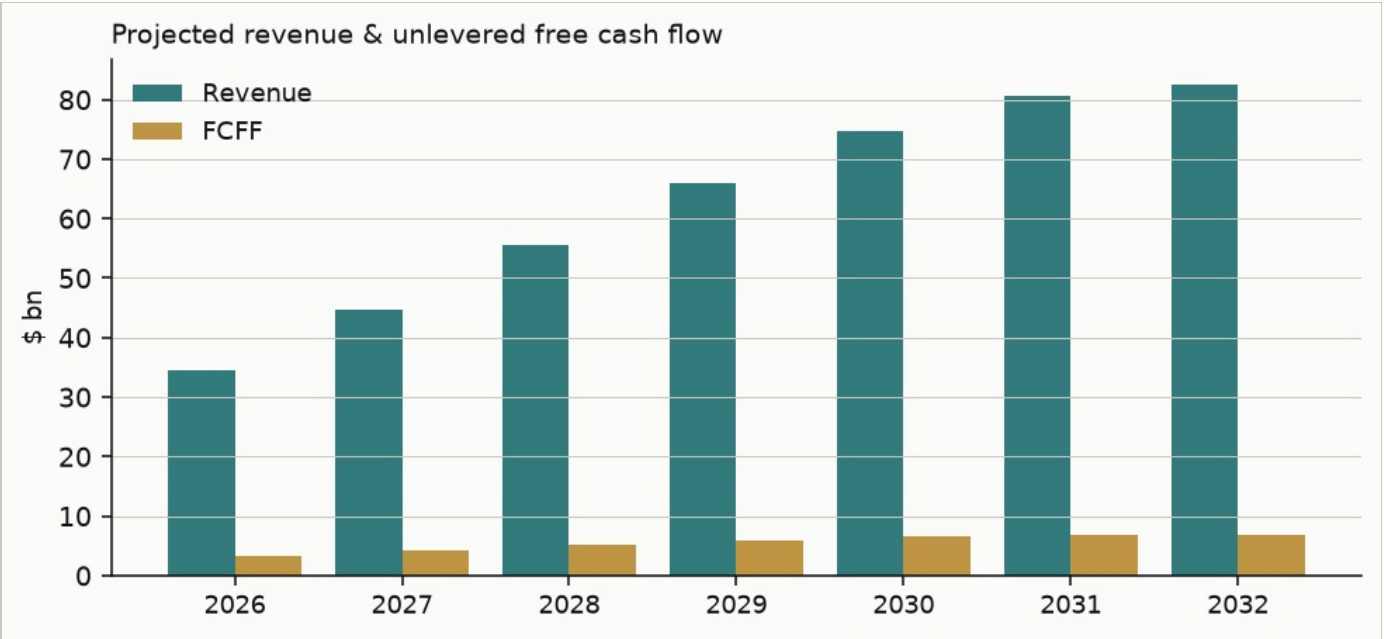
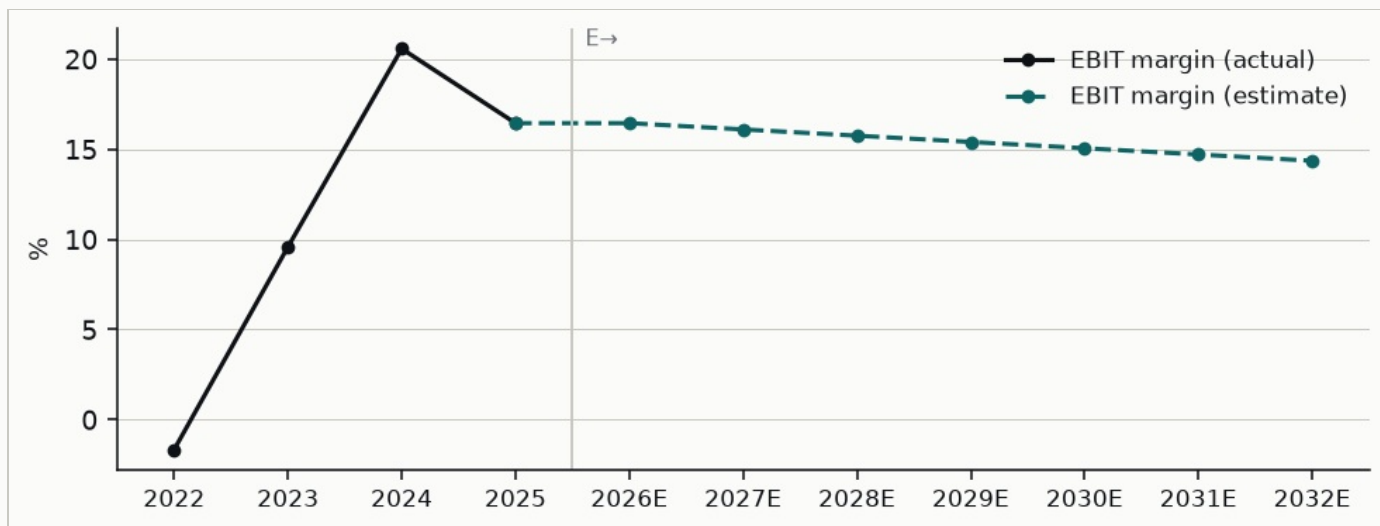


EXHIBIT 3 · MARGIN TRAJECTORY, ACTUAL VS ESTIMATE

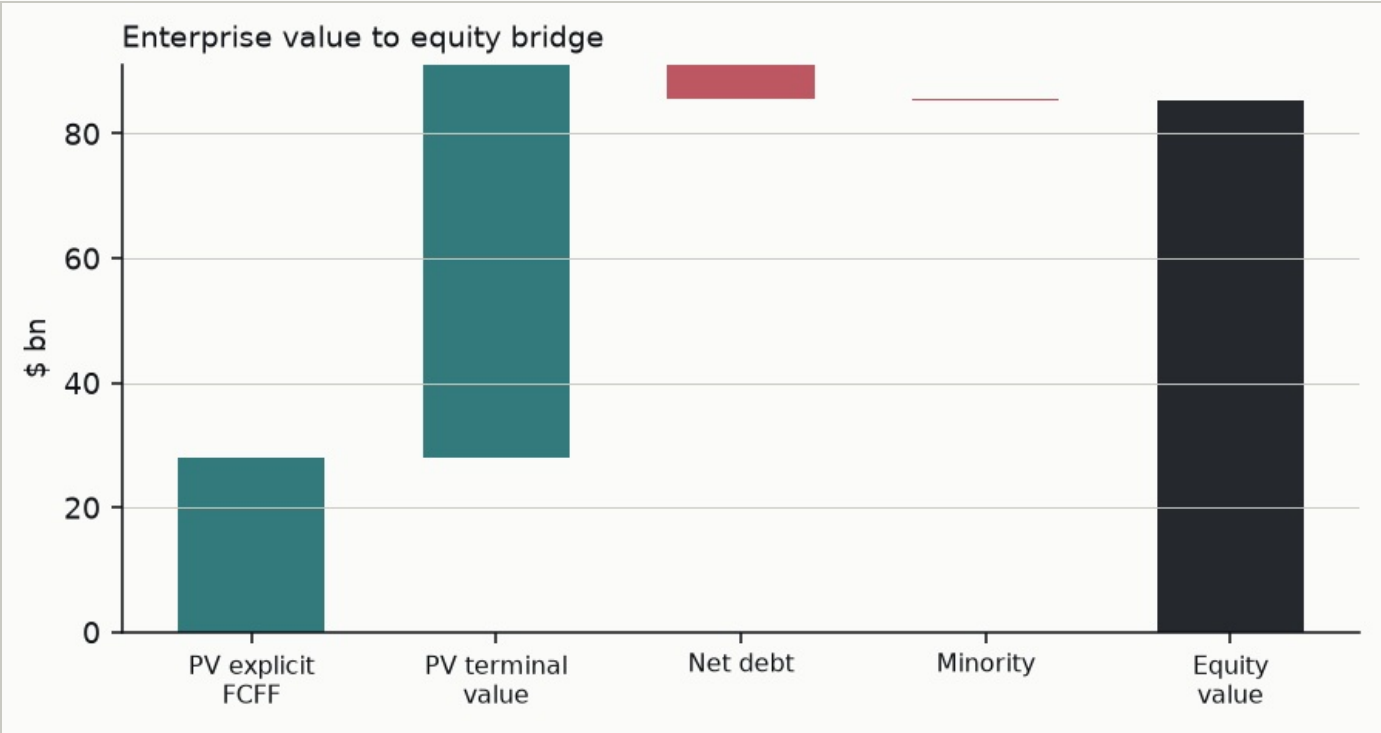


FISCAL YEAR	REVENUE	GROWTH	EBIT	MARGIN	NOPAT	FCFF	FCF CONV.
2022A	\$24.44bn	—	(\$408mn)	-1.7%	(\$291mn)	(\$5.38bn)	1848%
2023A	\$24.92bn	+2.0%	\$2.39bn	9.6%	\$1.55bn	(\$7.35bn)	-474%
2024A	\$23.57bn	-5.4%	\$4.85bn	20.6%	\$4.02bn	(\$5.71bn)	-142%
2025A	\$25.53bn	+8.3%	\$4.20bn	16.4%	\$2.78bn	\$1.76bn	63%
2026E	\$34.47bn	+35.0%	\$5.67bn	16.4%	\$4.04bn	\$3.33bn	82%
2027E	\$44.67bn	+29.6%	\$7.19bn	16.1%	\$5.13bn	\$4.21bn	82%
2028E	\$55.46bn	+24.2%	\$8.73bn	15.7%	\$6.23bn	\$5.10bn	82%
2029E	\$65.86bn	+18.8%	\$10.14bn	15.4%	\$7.23bn	\$5.90bn	82%
2030E	\$74.64bn	+13.3%	\$11.23bn	15.1%	\$8.01bn	\$6.52bn	81%
2031E	\$80.55bn	+7.9%	\$11.84bn	14.7%	\$8.45bn	\$6.85bn	81%
2032E	\$82.56bn	+2.5%	\$11.85bn	14.4%	\$8.45bn	\$6.83bn	81%

Shaded rows are reported actuals (A); unshaded are our estimates (E). NOPAT = EBIT × (1 – tax); FCFF = NOPAT + D&A – capex – ΔNWC; FCF conversion = FCFF / NOPAT.

Discounted cash flow build

YEAR	FCFF	DISC. FACTOR	PV OF FCFF
2026E	\$3.33bn	0.958	\$3.20bn
2027E	\$4.21bn	0.880	\$3.71bn
2028E	\$5.10bn	0.808	\$4.12bn
2029E	\$5.90bn	0.742	\$4.38bn
2030E	\$6.52bn	0.681	\$4.44bn
2031E	\$6.85bn	0.625	\$4.28bn
2032E	\$6.83bn	0.574	\$3.92bn
PV of explicit FCFF			\$28.05bn
PV of explicit FCFF			\$28.05bn
PV of terminal value			\$62.92bn
Enterprise value			\$90.98bn
– Net debt			\$5.35bn
– Minority interest			\$336mn
Equity value			\$85.29bn



RATIO ANALYSIS — LEVERAGE, COVERAGE & RETURNS

METRIC	FY2022A	FY2023A	FY2024A	FY2025A
Net debt / EBITDA	3.4x	1.9x	0.8x	0.9x
EBIT / interest	-1.6x	5.5x	9.6x	8.2x
ROE	-1.5%	14.9%	28.5%	16.0%
ROIC (NOPAT/IC)	-1.8%	8.6%	18.6%	15.1%
FCF conversion (FCFF/NOPAT)	1848%	-423%	-181%	66%
Capex / D&A	0.91x	1.29x	1.28x	1.52x

TERMINAL VALUE & IMPLIED MULTIPLES

Terminal value (Gordon, g=2.5%)	\$109.56bn
PV of terminal value	\$62.92bn
Terminal value as % of EV	69%
Implied terminal EV/EBITDA	6.0x
Implied terminal P/FCF	15.7x

A large terminal value is normal, but it must be defensible. We cross-check the Gordon perpetuity against the exit multiple it implies — if the implied terminal EV/EBITDA sits far above where the stock trades today, the perpetuity growth is doing too much work.

Terminal EV/EBITDA vs today	6.0x implied vs 14.9x current	OK
Terminal ROIC vs WACC	13.2% vs 8.9%	OK

RETURNS ANALYSIS — ROIC VS COST OF CAPITAL

Current ROIC	15.1%
Terminal ROIC	13.2%
Cost of capital (WACC)	8.9%
Reinvestment rate (terminal)	19%
Implied self-funding growth	2.5%

The business earns **13.2%** on incremental capital versus a **8.9%** cost of capital — a positive spread of **425bps**. Growth therefore creates value and the model rightly capitalises it at a premium to book. The implied self-funding growth of 2.5% (reinvestment 19% × ROIC) frames how much of our terminal growth is organically financed rather than assumed.

WHAT THE MARKET IS PRICING IN

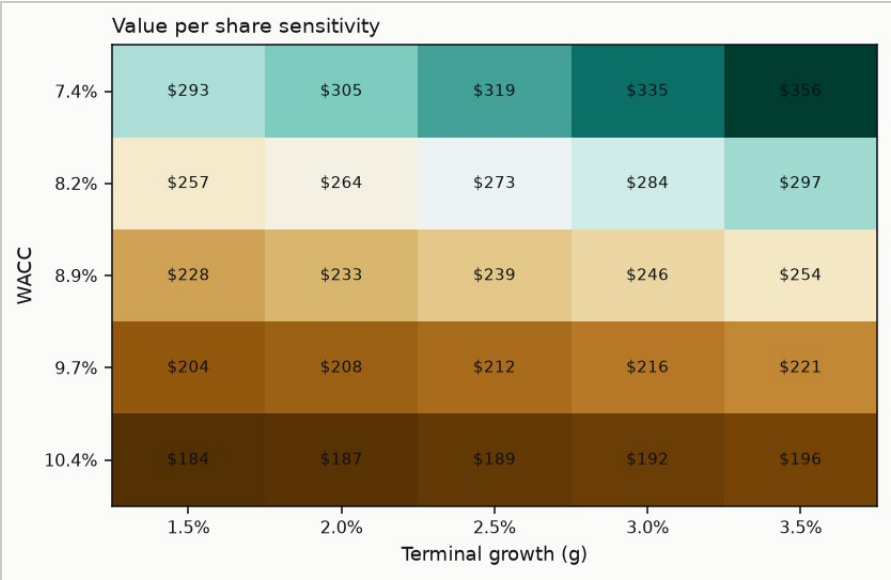
At the current \$240.98, a reverse-DCF implies the market is discounting **35.1%** near-term revenue growth and 2.5% in perpetuity.

Our base case assumes 35.0% near-term growth. The market is **more optimistic** than our forecast — the shares already embed an aggressive growth path, leaving little margin for error.

SCENARIO & SENSITIVITY ANALYSIS

SCENARIO	YR-1 GROWTH	EXIT MARGIN	TERMINAL G	VALUE / SHARE	UPSIDE
Bear	+32%	13%	2.2%	\$191.73	-20%
Base	+35%	14%	2.5%	\$238.83	-1%
Bull	+38%	16%	2.8%	\$299.09	+24%

EXHIBIT 4 • SENSITIVITY HEAT MAP



MULTI-STAGE DIVIDEND DISCOUNT

Current DPS	\$1.71
Near-term div growth	11.1%
Terminal growth	2.5%
Cost of equity (Ke)	9.46%
PV of explicit dividends	\$11.46
PV of terminal value	\$21.17
Value per share	\$32.63

Dividends grow from the retention-implied rate and fade to a sustainable terminal growth, discounted at the cost of equity.

YEAR	DPS	GROWTH	PV
2026	\$1.90	11.1%	\$1.74
2027	\$2.08	9.7%	\$1.74
2028	\$2.26	8.2%	\$1.72
2029	\$2.41	6.8%	\$1.68
2030	\$2.54	5.4%	\$1.62
2031	\$2.64	3.9%	\$1.53
2032	\$2.70	2.5%	\$1.44

FACTOR SENSITIVITY MAP — WHAT MOVES THIS STOCK

Exposure levels are scored from the model and the historicals, with the mechanism spelled out.

TYPE	FACTOR	EXPOSURE	EVIDENCE	WHY / MECHANISM
Macro	Interest rates / discount rate	HIGH	75bps of WACC $\approx$ \$30.91/sh (13%); TV = 69% of EV	Long-duration cash flows: the further out the value sits (terminal-heavy), the more a shift in rates or the equity risk premium re-prices the stock, independent of operations.
Macro	Economic cycle / demand	MEDIUM	Revenue growth volatility σ = 5.6% over 3y	Historical top-line dispersion is the cleanest read on cyclicity: a stable compounding base decouples from GDP; a volatile one imports the macro cycle into earnings.
Macro	Inflation / input costs	HIGH	-100bps EBIT margin $\approx$ - \$21.44/sh; margin σ = 8.4%	Cost pass-through is the test: firms with pricing power hold margin through inflation; historical margin volatility shows how much of past cost shocks reached the P&L.
Macro	Credit & refinancing	LOW	Net debt/EBITDA = 0.9x; EBIT/interest = 8.2x	Leverage converts operating shortfalls into equity stress: the higher the stack, the more a slowdown or a repricing of debt costs flows straight to the equity holder.
Macro	Regulation & allowed returns	HIGH	Regulated revenue model	The regulator, not the market, sets the achievable ROE; rate-case outcomes and allowed WACC resets dominate long-run value.
Micro	Competitive erosion	MEDIUM	ROIC-WACC spread = 425bps	Excess returns invite entry: the wider the spread, the bigger the prize for competitors — but also the bigger the buffer before growth stops creating value. A thin spread means small competitive slippage flips growth to value destruction.
Micro	Execution vs expectations	LOW	Implied y1 growth 35.1% vs base 35.0%	Market expects MORE than our base — priced for execution. The equity reprices on the gap between delivery and what the tape already discounts, not on absolute results.
Micro	Capital intensity	MEDIUM	Capex/D&A = 1.25x; capex =	Above 1x, the business must keep buying its own growth — FCF conversion stays hostage to the reinvestment cycle; below 1x, depreciation overstates

		9.8% of sales	true capital needs and cash conversion runs ahead of earnings.
Micro	Pricing power / margin stability	HIGH EBIT margin σ = 8.4% (range -2%–21%)	Stable margins across cycles are the fingerprint of pricing power; wide swings say the company is a price-taker whose profitability belongs to the environment, not the franchise.

CATALYSTS & WHAT EACH LEVER IS WORTH

- **Cost of capital:** every 75bps of WACC moves fair value by ≈\$30.91/share (13%). Rate path and the equity risk premium are the single biggest swing factor.
- **Terminal growth:** 50bps of perpetuity growth is worth ≈\$6.38/share — the market's read on the company's long-run competitive position.
- **Operating margin:** each 100bps of EBIT margin across the forecast is worth ≈\$21.44/share — watch pricing power, mix and cost discipline in quarterly prints.
- **Top-line delivery:** our base assumes 35.0% year-one growth fading to 2.5%; sustained beats/misses versus that glide path are the cleanest re-rating trigger either way.

KEY RISKS

- Single third-party data source: restatements, non-recurring items or classification differences can shift the output.

Methodology & disclaimer. Generated by an automated, sector-aware valuation engine from public data (yfinance). CEG was classified as **Utility (dividend-discount led)** and valued with the models appropriate to that profile; the target is a weighted blend. Forward assumptions are derived from historical financials and available consensus, mean-reverted and sanity-checked for internal consistency (reinvestment, ROIC, terminal multiples), then tilted for scenarios — they are not a substitute for fundamental judgement. Nothing here is investment advice, a recommendation, or an offer to transact. Do your own due diligence.